Placement Committee

Ashoka University | Career Development Office

PLACECOM

CTC GUIDE

2025-26

Placement Committee

Career Development Office
Ashoka University

INDEX

1. Understanding CTC (Cost To Company)
2. Structure of CTC
3. How CTC gets distributed
4. Tax Exemptions - Calculations Guide
5. Real-Life Breakdown - Hypothetical case.

UNDERSTANDING CTC

What is Cost to Company (CTC)?

Cost to Company (CTC) refers to the total annual expenditure incurred by an organisation on an employee.

This includes direct and indirect components such as:

- Salary
- Bonuses
- Allowances
- Contributions to retirement schemes
- Various other benefits

It represents the overall compensation package offered by the employer.

COMPONENTS OF CTC

Fixed pay +
Variable pay

Non-cash
Benefits/Perks

CTC ≠ Take-home Salary
Take-home Salary = CTC - Non-cash Benefits - Deductions

In most cases, 70–90% of the total CTC is received in-hand (take-home)

The remaining portion goes toward:

- Statutory deductions (e.g. tax, PF)
- Employer contributions (e.g. gratuity, insurance)
- Non-cash benefits (e.g. meals, wellness programs)

STRUCTURE OF CTC

1. In-Hand Salary (Cash Component Received Monthly)

This is the net monthly salary credited to the employee's bank account.

It generally includes:

1. Basic Pay

- *Typically 30%–50% of total CTC*
- Acts as the base for calculating other components like:
  - House Rent Allowance (HRA)
  - Provident Fund (EPF)
  - Gratuity

2. House Rent Allowance (HRA)

- *Partially tax-exempt, depending on location and rent paid*

STRUCTURE OF CTC

1. In-Hand Salary (Cash Component Received Monthly)

This is the net monthly salary credited to the employee's bank account.

HRA Exemption (Section 10(13A) of the Income Tax Act):

*Tax exemption is calculated as the **least** of the following:*

1. Actual HRA received
2. Rent paid – 10% of salary (Basic + DA)
3. 50% of salary (metro) or 40% (non-metro)

> Refer to: Income Tax HRA Exemption Calculator – IncomeTaxIndia.gov.in

STRUCTURE OF CTC

1. In-Hand Salary (Cash Component Received Monthly)

This is the net monthly salary credited to the employee's bank account.

3. Dearness Allowance (DA)

- Mainly applicable in the public sector
- Paid to adjust for inflation
- *Rarely included in private sector CTCs*

4. Other Allowances:

These vary by company and may include:

- Special Allowance (flexible component)
- Conveyance Allowance (for travel-related expenses)
- Internet/Communication Allowance
- Food Coupons or Meal Allowance

> Note: Tax treatment differs for each allowance - some may be *partially* or *fully* exempt.

STRUCTURE OF CTC

2. Benefits/Perquisites (Non-Cash/Deferred Components)

These components do not affect monthly take-home salary but are a part of CTC. These include:

Employer EPF Contribution

- **12% of Basic Pay**
- Deposited directly to the EPFO, not credited to the employee

Gratuity

- **~4.81% of Basic Pay annually**
- Payable only at separation after **5 years** of continuous service with the employer

Medical & Accident Insurance

- Premiums paid by the employer
- Coverage may vary by company

STRUCTURE OF CTC

2. Benefits/Perquisites (Non-Cash/Deferred Components)

These components do not affect monthly take-home salary but are a part of CTC. These include:

Meals & Transport

- Subsidised canteen, prepaid meal cards, or transport reimbursements

Learning/Up skilling Budget

- Reimbursement for **courses**, **certifications**, or **training programs**

ESOPs & RSUs

- Company stock offered under specific **vesting conditions**
- May lead to future gains but are **not immediate cash benefits**

STRUCTURE OF CTC

2. Benefits/Perquisites (Non-Cash/Deferred Components)

These components do not affect monthly take-home salary but are a part of CTC. These include:

Childcare Assistance

- On-campus crèche or **₹1,200/month tax-free reimbursement per child**

Relocation/Accommodation

- Support provided during **onboarding** or **location transfers**

Soft Loans

- Loans at **below-market interest rates**
- May be taxed as a perquisite

> These benefits vary by employers and may *depend* on company policy or tenure.

DEDUCTIONS

Deductions (Reductions from Gross Pay)

Deductions reduce the monthly salary and are either statutory or policy-driven.

1. Employee Provident Fund (EPF)

- **12% of Basic Pay** is deducted from the employee's salary each month
- The employer contributes an **additional 12%**, which is counted in the CTC
- Calculated strictly on **Basic Pay**

2. Professional Tax

- Levied by some state governments
- Maximum deduction: **₹2,500 per annum**

DEDUCTIONS

Deductions (Reductions from Gross Pay)

Deductions reduce the monthly salary and are either statutory or policy-driven.

3. TDS (Tax Deducted at Source)

- Deducted from salary based on the employee's taxable income
- *Taxable income* = Total earnings after exempt allowances and deductions

4. ESIC (Employees' State Insurance Contribution)

- Applicable **only** if gross monthly salary ≤ ₹21,000/month
- Employee contributes *0.75% of gross salary*

Placement Committee

Career Development Office
Ashoka University

HOW CTC GETS DISTRIBUTED

ASSUMING A CTC OF ₹10,00,000 ANNUALLY. HERE'S HOW IT MIGHT BREAK DOWN:

Annual CTC: ₹10,00,000

Basic Pay (40%) – ₹4,00,000

Allowances (incl. HRA) – ₹4,00,000

Bonuses – ₹1,00,000

Deductions (EPF, TDS) – ₹1,00,000

Benefits (Insurance, Gratuity) – ₹1,00,000

Placement Committee

Career Development Office
Ashoka University

HOW CTC GETS DISTRIBUTED

Component Category	Sub-Component Description	Approx. Amount (INR)	Type
Basic Pay	Basic Salary (40% of CTC)	₹400,000	Fixed
Allowances	HRA (50% of Basic) + Special Allowances	₹400,000	Fixed/Variable
Bonuses	Performance Incentive	₹100,000	Variable
Benefits	Employer EPF (12% of Basic), Gratuity, Insurance	₹100,000	Non-cash
Total CTC		**₹1,000,000**	

Clarification:

EPF, gratuity, and insurance are calculated based on basic pay.

Tax exemptions like HRA or Sec 80C deductions are computed on gross taxable salary (not full CTC).

Placement Committee

Career Development Office
ASHOKA UNIVERSITY

INCOME TAX CALCULATION

A step-by-step overview of how your tax is calculated

Step 1: Calculate Gross Salary

Step 2: Deduct Exemptions

Step 3: Apply Tax Deductions

Step 4: Compute Taxable Income

Step 5: Apply Tax Slabs

Step 6: Compute TDS

Placement Committee

Career Development Office
Ashoka University

INCOME TAX CALCULATION

A step-by-step overview of how your tax is calculated

1 Calculate Gross Salary

Gross Salary = CTC – Non-cash components

(These benefits don't come as cash monthly, so they are excluded from income tax calculations.)

Non-cash items include:

- Employer EPF contribution
- Gratuity
- Insurance premium
- ESOPs

2 Deduct Exemptions

These are tax-free parts of the income allowed under the Income Tax Act.

1.HRA Exemption (Section 10(13A))

Calculated using the least of:

- Actual HRA received
- 50% of basic salary (metro) or 40% (non-metro)
- Rent paid – 10% of basic salary

Proofs required: Rent agreement, rent receipts.

2. Standard Deduction

- ₹50,000 flat deduction

Automatically available to all salaried individuals

3.LTA (Leave Travel Allowance)

- Covers domestic travel (economy class/rail fare)
- Only reimbursed with actual travel proofs

Placement Committee

Career Development Office
ASHOKA UNIVERSITY

INCOME TAX CALCULATION

A step-by-step overview of how your tax is calculated

3 Apply Tax Deductions

These are investments or expenses that reduce the taxable income.

Section	Purpose	Limit
80C	EPF, PPF, ELSS, LIC, tuition fees	₹1.5 lakh
80D	Medical insurance	₹25,000 (₹50,000 for senior citizen parents)
80CCD(1B)	NPS (additional to 80C)	₹50,000

These require proofs during investment declaration.

4 Compute Taxable Income

Taxable Income = Gross Salary – (Exemptions + Deductions)

This is the amount on which income tax will be charged.

INCOME TAX CALCULATION

5 Apply Income Tax Slabs

Choose one tax regime:

Income	Old Regime	New Regime
Up to ₹2.5L	Nil	Nil
₹2.5L–₹5L	5%	5%
₹5L–₹7.5L	20%	10%
₹7.5L–₹10L	20%	15%
₹10L–₹12.5L	30%	20%
₹12.5L–₹15L	30%	25%

- **Old Regime**: You get all deductions (HRA, 80C, etc.).
- **New Regime**: Lower tax rates, but no exemptions/deductions allowed (except EPF + NPS employer contributions in certain cases)
- Under Section 87A, if the total taxable income (after standard deduction) is ≤ ₹7,00,000, the government gives a rebate up to ₹25,000, which reduces the tax liability.

6 Understand TDS (Tax Deducted at Source)

Once your estimated annual taxable income is calculated:

- Your employer estimates your annual tax liability.
- That amount is divided over 12 months and deducted from your monthly salary as TDS.
- You can see this in your monthly payslip.

TDS ensures you pay taxes in advance instead of in a lump sum at year-end.

Placement Committee

Career Development Office
ASHOKA UNIVERSITY

REAL-LIFE BREAKDOWN : (HYPOTHETICAL)

CTC: ₹6,00,000 per annum

Component	Amount (₹)	Notes
CTC	600,000	Includes all cash and non-cash benefits
Gross Salary	500,000	Excludes employer EPF, gratuity, and perks.
Employee EPF (Deduction)	(-) 36,000	Part of 80C
TDS (Estimated)	(-) 25,000	Calculated using the Old Tax Regime
In-Hand Salary	~439,000/year or ~₹36,500/month	After deductions

- This example is illustrative and may not reflect actual company structures.